

Beta Drugs Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: BETA · Report prepared 3 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts, exchange filings and public financials.

1 Snapshot

What the business does: Beta Drugs makes *oncology* medicines — drugs used to treat cancer — at three plants in Baddi (Himachal Pradesh) and Derabassi (Punjab), and sells them four ways: under its own "**Adley**" brand to Indian hospitals; as a **CMO** / **CDMO** (contract manufacturer — making cancer drugs that other pharma companies sell under *their* labels); as **exports** to roughly 30–45 countries, almost all via government tenders; and as **API** (the active pharmaceutical ingredient — the raw chemical that does the healing, before it becomes a tablet or injection). Two smaller lines have been bolted on: **dermatology/cosmetology** skin products, and **IVF** (in-vitro fertilisation — fertility medicines) via **Nivian Lifesciences**, 66.09% bought in April 2026. Most manufacturing and profit sits in subsidiaries — Adley Formulations, Adley Lab, Nivian — not the listed parent.

Measure	Value	What it means in plain words
Market cap	₹2,452 cr	What the whole company is worth on the stock market — a small-cap. Share price ₹2,353 against a 52-week low of ₹990.
FY26 revenue (group)	₹385 cr	Total group sales in the year to March 2026. Up only 6.2% on FY25's ₹362 cr — after 22.5% growth the year before. The engine stalled.
FY26 operating profit	₹75.7 cr	EBITDA = operating profit before interest, tax and depreciation. That is a 19.7% margin, down from 20.6% in FY25.
FY26 net profit (group)	₹41.5 cr	Profit after everything. Slightly <i>below</i> FY25's ₹42.4 cr — the first fall in years, hurt by ₹15.3 cr of interest.
Q1 FY27 revenue	₹125.5 cr	June-quarter sales, up 25.2% on last year. But ₹15.1 cr of that is the newly-bought Nivian; strip it out and growth is about 10% .
Borrowings / cash (Mar 26)	₹148 cr / ₹125 cr	Debt-to-equity 0.60x. Most of the debt was ₹117 cr of convertible debentures, which converted into shares in mid-2026 , so it largely disappears from FY27. The cash mostly sat in fixed deposits for two years earning ₹8.5–9 cr a year; ₹69 cr of it has now gone on Nivian.
Working capital days	107 days	Cash tied up in stock and unpaid customer bills — up from 86 days in FY24. Getting steadily worse.
Promoter holding	59.1%	Down from 64.6% in March 2026, diluted by the debenture conversion. Domestic institutions rose from 2.2% to 6.2% in the same quarter.

2 Concall coverage

Period	Call date	Transcript read?
H1 FY23	Nov 2022	Yes
FY23 full year	May 2023	Yes
H1 FY24	Nov 2023	Yes
FY24 full year	May 2024	Yes
H1 FY25	Nov 2024	Yes — in full
FY25 full year	May 2025	Yes — in full
H1 FY26	Nov 2025	Yes — in full
Q4 / FY26 full year	15 May 2026	Yes — in full. Most recent call ★

Screener.in lists 11 concalls; the three oldest (May 2021 – May 2022) fall outside the window this report covers and were not read. **Important gap:** Screener shows a "Jul 2026" row, but it holds only a slide deck — the transcript link is empty because *there is no transcript*. NSE's announcement history for April–August 2026 confirms it: the last filing tagged "Analysts/Institutional Investor Meet/Con. Call Updates" is dated 22 May 2026. The gold callout below is therefore the **May 2026 call**; Q1 FY27 figures come from the filed results and the July 2026 presentation, not from any call. Until Beta convenes one, the latest quarter cannot be questioned by anybody.

★ Latest concall highlights — Q4/FY26 call, 15 May 2026

- **An apology quarter.** The Chairman opened by conceding the year outright: "*we accept that the growth expected last year was not at all encouraging for the entire company.*" Group sales grew 6.2% against a repeated 20–25% promise. The stated cause was export tenders that slipped from December–January to March, worth **₹20–25 cr** of lost FY26 revenue.
- **The Platins problem is self-inflicted, and permanent.** Beta stopped supplying *Carboplatin* and related platinum-based chemotherapy drugs in India because the government's capped price (₹2,850) is barely above its ₹2,300–2,400 cost, leaving no room for trade margins. That was ₹30–35 cr of annual business walked away from. Management is not going back: "*even in export also, we are not focusing on the Platens.*"
- **Exports promised to roar back — 50%+ growth in FY27, ₹105–110 cr, and ₹20–22 cr in the June quarter alone.** The Sales Director said the delayed tenders had been awarded and supply would start immediately.
- **₹69.4 cr spent on Nivian Lifesciences** (66.09% of an IVF/fertility drug company valued at ₹105 cr), closed April 2026. Nivian did ₹43 cr of sales in FY26 at 18–19% operating margin. It is Beta's fourth vertical in three years, after oncology, dermatology and cosmetology.
- **"Vision 2030": ₹850–900 cr of revenue in four years**, with own-branded products rising from 36% to 51% of sales, exports from 18% to 30%, and contract manufacturing deliberately shrinking from 39% to 13%. Existing plants can support ₹700–800 cr with almost no new spending — total capex planned is under ₹25 cr over two years.

2b What actually happened next — Q1 FY27 (no call held)

Group revenue ₹125.5 cr (+25.2%), operating profit ₹27.4 cr at a 21.8% margin, net profit ₹16.5 cr (+41%). On the face of it the best quarter Beta has printed. Underneath, three things matter. **(1) A third of the growth was bought, not earned** — ₹15.1 cr came from Nivian, consolidated for the first time; organic growth was roughly 10%. **(2) Exports collapsed rather than recovered** — ₹17.2 cr against ₹32.3 cr a year ago, a 47% fall, and below the ₹20–22 cr management itself forecast for this very quarter eight weeks earlier. **(3) Part of the margin gain is financial, not operational** — finance cost fell from ₹3.3 cr to ₹2.6 cr as the debentures converted, and will fall further. The heavy lifting came from contract manufacturing, up 41% to ₹47.4 cr — **the one vertical management says it wants to shrink from 39% of sales to 13%** — with branded oncology also strong, up 47% to ₹33.0 cr.

2c Business mix & capacity

Domestic 82% / exports 18% of FY26 group revenue — and in Q1 FY27 exports slipped further, to about **14%** of sales. *Plain read: this is overwhelmingly an Indian company, and it is becoming more so, in the exact quarter management said the reverse would happen.*

FY26 revenue by vertical: contract manufacturing 39%, own branded formulations 36%, exports 18%, API 7%. **Q1 FY27 (₹ cr, vs year-ago):** contract manufacturing 47.4 (+41%) · branded oncology 33.0 (+47%) · exports 17.2 (–47%) · Nivian IVF 15.1 (new) · API 8.3 (+17%) · dermatology 4.5 (–6%). *Plain read: the largest slice of Beta's sales is making other companies' drugs at 16–18% operating margin, against 35–36% on its own brands — fixing that mix is the whole strategy. In the latest quarter two engines fired hard, one reversed, one was bought in, and dermatology went backwards despite a ₹30 cr FY27 target.*

Capacity utilisation, FY26 (company-disclosed): Beta Drugs Nandpur formulation plant **67.3%** · Adley Lab API plant **79.4%** · Adley Formulations plant **69.9%**. Line-by-line, from the May 2026 call: oral tablets/capsules only **40–45%** used, injectable liquids around **60–65%**, freeze-dried (lyophilised) injections the tightest at **~85%**. *Plain read: roughly a third of*

the factory is idle and already paid for. Management says ₹700–800 cr of revenue is achievable on this asset base without major investment — roughly double FY26. If demand ever arrives, profit would rise much faster than sales.

Regulatory reach: three WHO-GMP plants; one also holds ANVISA (Brazil), INVIMA (Colombia), COFEPRIS (Mexico) and PIC/S. 280 registrations granted, 623 in the pipeline. **EU-GMP — the gateway to Europe — is still not obtained** after seven missed target dates since 2023.

★ 3. Earning-trigger thesis

Management sells one story above all others: exports will triple, Europe will open, and regulated-market pricing will lift group margins to 25%. **That story has been told for four years and the export line has gone backwards.** Strip it away and a real, unglamorous trigger remains: a branded oncology franchise compounding at 20–47%, roughly a third of factory capacity idle and already paid for, and ₹12–15 cr a year of debenture interest that has just vanished from the profit and loss account through conversion into shares. All three are mechanical, visible in the Q1 FY27 numbers, and need no new promise to come true.

Trigger	What management said	Evidence so far	Horizon	Strength
Branded oncology growth	"Beta will continue to grow its own branded business by 20% to 25% in the coming three to four years." 135+ oncology products; 20–25 new launches planned.	Delivered every year: +25% in FY25, +20% in FY26, +47% in Q1 FY27 to ₹33.0 cr. One new drug-delivery product (Megestrol suspension) became a ₹10 cr brand from a ₹6 cr market. Margins here are 35–36%.	Ongoing	Strong The only promise consistently kept.
Idle capacity / operating leverage	"With this asset value, we see the revenue can scale up to ₹700–800 cr easily without doing any major investment." Capex under ₹25 cr over two years.	Real and verifiable: plants at 67–79%, oral lines at 40–45%. FY26 revenue ₹385 cr against a ₹700–800 cr ceiling. Q1 FY27 margin already jumped to 21.8% from 18.8% in the prior quarter.	2–4 yrs	Strong Requires only volume, not capital.
Interest cost falling away	₹117 cr of convertible debentures converted into equity at ₹1,643/share in mid-2026. CFO: "the big financial expense won't come this year, only for 2 months."	Confirmed by the numbers: finance cost ₹3.9 cr in Q4 FY26 → ₹2.6 cr in Q1 FY27. FY26 carried ₹9.36 cr of debenture interest alone. Promoter stake fell 64.6%→59.1% as the price of it.	Now	Strong Already happened. Adds ~₹7 cr to annual profit.
Nivian / IVF diversification	66.09% for ₹69.4 cr. "Nivian will continue to grow at 30% for next three to four years." Synergy from Beta's hospital access and cheaper procurement.	Contributed ₹15.1 cr in Q1 FY27, up 45% year-on-year. Genuine growth — but it is 12% of group sales, bought at roughly 24x its ₹4.3 cr of profit, and adds a fourth reporting entity to an already layered structure.	1–3 yrs	Moderate Real revenue, bought not built.
Export / regulated-market expansion	"3 times our sales in next 2 to 3 years" (May 2025). "₹200 cr by FY28." "50% growth this year... ₹105–110 cr." "₹20–22 cr this quarter."	Every version has missed. Exports ₹79 cr FY25 → ₹71 cr FY26 (–11%). Q1 FY27 ₹17.2 cr, down 47% and below management's own eight-week-old forecast. EU-GMP audit promised for Mar-25, then Dec-25, then Mar-26, now Sep-26.	3+ yrs	Weak Four years of promises, zero delivery.
Backward integration & dermatology	In-house intermediates "will add on another 10% to 15% margin in our total revenues" (₹27 cr plant). Dermatology	The margin claim was cut tenfold — May 2026: "a slight increase... by 1 to 1.5 basis" — with commercialisation slipping from	1–3 yrs	Weak Behind plan; one claim cut 10x.

to reach ₹30 cr in FY27, ₹50 cr in three years.

"6 to 8 months" to "by this year".
Derma broke even but did ₹16.6 cr in FY26 and shrank 6% in Q1 FY27: an ₹18 cr run-rate against a ₹30 cr target.

4 Management consistency scorecard

Period	What was promised	What actually happened	Verdict
H1 FY23 → FY24 (Oct 22 – May 24)	Exports to be "around 35%" of sales within three years; export business "going 4x to 5x in the next 3-4 years?" — Chairman: <i>"100%, yes."</i>	Exports were 15.5% of sales in FY24, 18% in FY26 and ~14% in Q1 FY27. The 35% target was simply restated in May 2024 with the deadline removed.	Missed
FY23 → FY24 (May 23 – May 24)	"No fund raising." "All will happen through our internal cash accruals only." "Until ₹400 cr we don't require any further capex addition."	Months later Beta raised ₹117 cr of convertible debentures from HealthQuad and Tanas Capital — at a turnover far below the ₹400–500 cr threshold they said would trigger any need for outside money. Most of it then sat in fixed deposits for two years.	Reversed
H1 FY24 (Nov 23)	Asked directly whether the ₹450 cr FY26 revenue target still stood, the Chairman: <i>"the target, which we have said, ₹450 crores is 100% achievable and we will try to deliver more than that."</i>	FY26 landed at ₹385 cr . Worse, in November 2025 the same Chairman told a different analyst <i>"we never gave ₹450 crores."</i> The target was affirmed as "100% achievable", then missed, then denied.	Not credible
H1 FY23 (Nov 22)	"We will continue to grow at a pace of 25% to 30% in the next 3-4 years... 100% achievable." Exports to reach "around 35%" of sales within three years and go "4x to 5x" — "100%, yes."	Group revenue did compound at ~22% for two years, then collapsed to 6.2% in FY26. Exports were 15.5% of sales in FY24 and are still 18% four years later , not 35%. The identical 35% target was repeated in May 2024 with the deadline silently removed.	Partly, then missed
FY23 (May 23)	"The EBITDA margins will cross around 26%. And this is the bare minimum." Doubling revenue in three years to ~₹450 cr by FY26.	Margin went the other way every year: 25.0% FY23 → 20.8% FY24 → 20.6% FY25 → 19.7% FY26 . Revenue reached ₹385 cr, not ₹450 cr. By May 2024 the guidance had been quietly reframed as "bring back EBITDA margins between 24%–26%."	Missed
FY23–FY24 (May 23 – May 24)	"No fund raising... even the ₹18 crores capex has been done from internal cash accruals only." Repeated in three consecutive calls; company described as net-debt-free.	In late 2024 Beta raised ₹117 cr of convertible debentures from HealthQuad and Tanas Capital. The money then sat in fixed deposits for roughly two years earning ₹8.5–9 cr a year, while costing ₹9.36 cr of interest in FY26 alone. A direct reversal of three calls of "internal accruals only."	Reversed
H1 FY25 (Nov 24)	"We tend to grow at a pace of 25% to 30% for the next many years to come." Company "about to reach ₹450–500 cr of turnover probably by next year."	FY26 group revenue came in at ₹385 cr, growth of 6.2% . Not 25–30%, and ₹65–115 cr short of the turnover milestone they said was one year away.	Missed badly
Every call 2022–2026	The EU-GMP audit — the one approval that unlocks Europe and the whole regulated-market margin story.	Promised for mid-2023 → Oct-23/Feb-24 → "first half of next year, 100%" (Nov 2023) → Sep-2024 → "before March '25" → Oct–Dec 2025 → Jan–Mar 2026 → now Sep 2026. Seven missed dates in four years.	Missed repeatedly
			Missed

FY25 (May 25)	"We are intent to 3 times our sales in next 2 to 3 years... from the export side." Overall EBITDA margin "projected between 23% to 25%."	Exports fell from ₹79 cr to ₹71 cr the very next year. FY26 margin was 19.7% excluding other income (22.6% including it) — below the floor of the promised range on either basis.	
H1 FY26 (Nov 25)	"If we did ₹43 cr [exports in H1], we will be crossing ₹100 cr of top line in exports for next half." FY26 EBITDA margin "will remain between 23% and 25%."	Second-half exports came in around ₹28 cr — against a ₹100 cr forecast made with five months of the year left to run. Margin was 22.6%. This is the single worst forecasting miss in the record.	Missed badly
FY26 (May 26)	Exports to grow "at least 50% this year... ₹105 to ₹110 cr", with "₹20 to ₹22 cr" in the June quarter specifically. Quarterly calls to begin: "we will be trying to deliver every quarter now."	June-quarter exports were ₹17.2 cr — a miss on an eight-week-old forecast, and 47% below the year-ago quarter. To reach ₹105 cr, the remaining nine months must produce ₹88 cr against ₹54 cr last year. And no Q1 FY27 call was held.	Already off track
Delivered (various)	Branded oncology to grow 20–25% a year; dermatology to break even in FY26; migrate from NSE SME to the main board; convert the debentures.	All four done. Branded grew 25%, 20%, then 47%. Derma turned operating-profit-positive. Main board completed late 2025 (promised July 2024 — late, but done). Debentures converted at ₹1,643 as stated.	Delivered

Narrative drift. The pattern is unusually clean once you line eight calls up side by side. **On operations, Beta does what it says.** Plants get audited and approved — INVIMA, ANVISA, COFEPRIS, ZAZIBONA, Eurasia and PIC/S have all been obtained, most of them roughly on schedule. Products get launched. The branded book compounds. The debentures converted at the stated price. **On numbers, Beta is not reliable, and the failures repeat in the same places.** Revenue growth was guided at 25–30% in four separate calls and delivered 6.2% in FY26. Margins were called a "bare minimum" 26% in May 2023, then 24–26%, then 23–25% twice — and came in at 20.6% and 19.7%. The FY26 revenue target went from ₹450 cr affirmed as "100% achievable", to ₹400–420 cr mid-year, to ₹385 cr delivered, to being denied outright. Smaller promises drift the same way: dermatology was guided to ₹18–20 cr for FY26 and did ₹16.6 cr; the R&D building bought land for was dropped and the land put up for sale. And the horizon keeps stretching — ₹450 cr by FY26 became ₹750 cr by FY28, then ₹850–900 cr by FY30: a bigger number, two years further away, which is a downgrade dressed as an upgrade.

The second, subtler drift is **verticalisation as a substitute for the core promise**. Every time exports fail to arrive, a new segment appears in the story: cosmetology in FY24, dermatology in FY25, IVF in FY26. Asked in May 2026 whether this was over-diversification, the Chairman was candid but revealing — *"it's about a bandwidth... the business become on auto mode... so you don't have work to do."* A fair argument from a team with spare attention; less reassuring from one whose flagship export project has slipped four years running.

One structural caveat. Beta's group profit does not mostly come from Beta. In the June 2026 quarter the subsidiaries — Adley Formulations, Adley Lab, Beta Research and Nivian — contributed ₹69.4 cr of revenue and ₹9.87 cr of profit, roughly 60% of group earnings. The auditor's own note states these subsidiary accounts **"have not been reviewed/audited by their auditors"** and that his opinion on them rests "solely on the reports of the management." This is not evidence of anything wrong. It does mean a majority of the reported profit carries less independent verification than the headline consolidated figure implies.

Durable earning trigger? → YES — but not the one management is selling

There is a genuine engine here, and Q1 FY27 shows it working. The branded oncology book grew 47% to ₹33 cr and earns 35–36% operating margins; contract manufacturing grew 41%; roughly a third of the factory is idle and paid for, giving a ₹700–800 cr revenue ceiling against ₹385 cr of actual sales with under ₹25 cr of capex planned; and ₹117 cr of debentures just converted to equity, removing around ₹12–15 cr of annual interest from the profit and loss account. Cancer drug demand in India is not cyclical and is not going away. Together that is a real, mechanical path to higher profit that requires no new promise to be kept. **What you must not pay for is the export story.** Exports have fallen two years running, are down 47% in the latest quarter, missed a forecast made eight weeks earlier, and the European approval underpinning the whole regulated-market thesis has now missed seven target dates. Three cautions: about a third of Q1's growth was bought rather than earned, working capital has stretched from 86 to 107 days, and the stock is not cheap — roughly 53 times trailing group earnings for a business that grew 6% last year.

Management consistent? → NO

On the things they can touch, this team delivers: plants get built and approved, products get launched, the branded business has hit its 20–25% target every single year, dermatology broke even when they said it would, the main-board migration happened, the debentures converted at the stated price. That record is better than most small-caps. **But on every number a shareholder would actually act on, the record is poor and the pattern repeats.** Growth guided at 25–30% across four calls, delivered at 6%. Margins guided at 23–26% across four calls, delivered at 19.7%. Exports promised to triple, then to cross ₹100 cr in a single half-year, then to hit ₹20–22 cr in a specific quarter — delivered at ₹28 cr and ₹17.2 cr respectively. A ₹450 cr target the Chairman called "100% achievable" in November 2023 was denied by the same man two years later: "we never gave ₹450 crores." Three consecutive calls said no outside money was needed below ₹400–500 cr of turnover; ₹117 cr was then raised at ₹385 cr. The backward-integration margin benefit went from "10% to 15%" to "1 to 1.5". A planned R&D building was dropped and the land put up for sale. The EU-GMP audit has missed seven announced dates in four years. And having told an analyst in May 2026 they would move to quarterly calls, they published a June-quarter presentation with no call attached — so nobody got to ask about the 47% export decline. The strategy is coherent and the operations are competent. The forecasting is not credible, and until several quarters pass where the numbers match the words, guidance from this management should be discounted heavily rather than modelled.

Sources: Eight Beta Drugs Ltd earnings-call transcripts, H1 FY23 (Nov 2022) through Q4/FY26 (15 May 2026), filed with NSE and sourced from Screener.in. Q1 FY27 unaudited standalone and consolidated results with limited review reports (NSE, 20 Jul 2026); revised review reports with UDIN (NSE, 23 Jul 2026); Investor Presentation July 2026, 39 slides (NSE, 27 Jul 2026); NSE corporate-announcement history for BETA, Apr–Aug 2026. Screener.in financial history.

A note on the numbers: unless stated otherwise, figures are *consolidated* — the whole group including Adley Formulations, Adley Lab, Beta Research and Nivian. Screener.in's tables are *standalone* and show a much smaller business: ₹225 cr of FY26 revenue against the group's ₹385 cr, and ₹14.3 cr of profit against ₹41.5 cr. Both are correct on their own basis. Screener's headline price-to-earnings of 153 uses standalone profit; on consolidated group earnings the multiple is roughly 53.